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the seller enjoys the luxury of influencing the price in order to earn more profits.

If a seller is selling a non-identical good in the market, then he can raise the prices and earn profits. High profits attract other sellers to enter the market and sellers, who are incurring losses, can very easily exit the market.

5.7 Monopoly



Indian Railways

Meaning:

The word monopoly has been derived from the combination of two words i.e., 'Mono' and 'Poly'. Mono refers to a single and "poly" to seller.

In this way, monopoly refers to a market situation in which there is only one seller of a commodity. Hence, there is no scope for competition. (Still some economists observe that there will always be potential threat to the monopolists).

Definition

Monopoly is a market structure characterized by a single seller, selling the unique product with the restriction for a new firm to enter the market. Monopoly is a form of market where there is a single seller selling a particular commodity for which there are no close substitutes.

5.7.1 Features of Monopoly

1. There is a single producer / seller of a product;
2. The product of a monopolist is unique and has no close substitute;
3. There is strict barrier for entry of any new firm;
4. The monopolist is a price-maker;
5. The monopolist earns maximum profit/ abnormal profit.

5.7.2 Sources of Monopoly Power

1. **Natural Monopoly:**

   Ownership of the natural raw materials [Eg.Gold mines (Africa), Coal mines, Nickel (Canada) etc.]

2. **State Monopoly:**

   Single supplier of some special services (Eg.Railways in India)

3. **Legal Monopoly:**

   A monopoly firm can get its monopoly power by getting patent rights, trade mark from the government.

5.7.3 Price & Output Determination Under Monopoly

A monopoly is a one firm-industry. Therefore, a firm under monopoly faces a downward sloping demand curve (or AR curve). Since, under monopoly AR falls,